

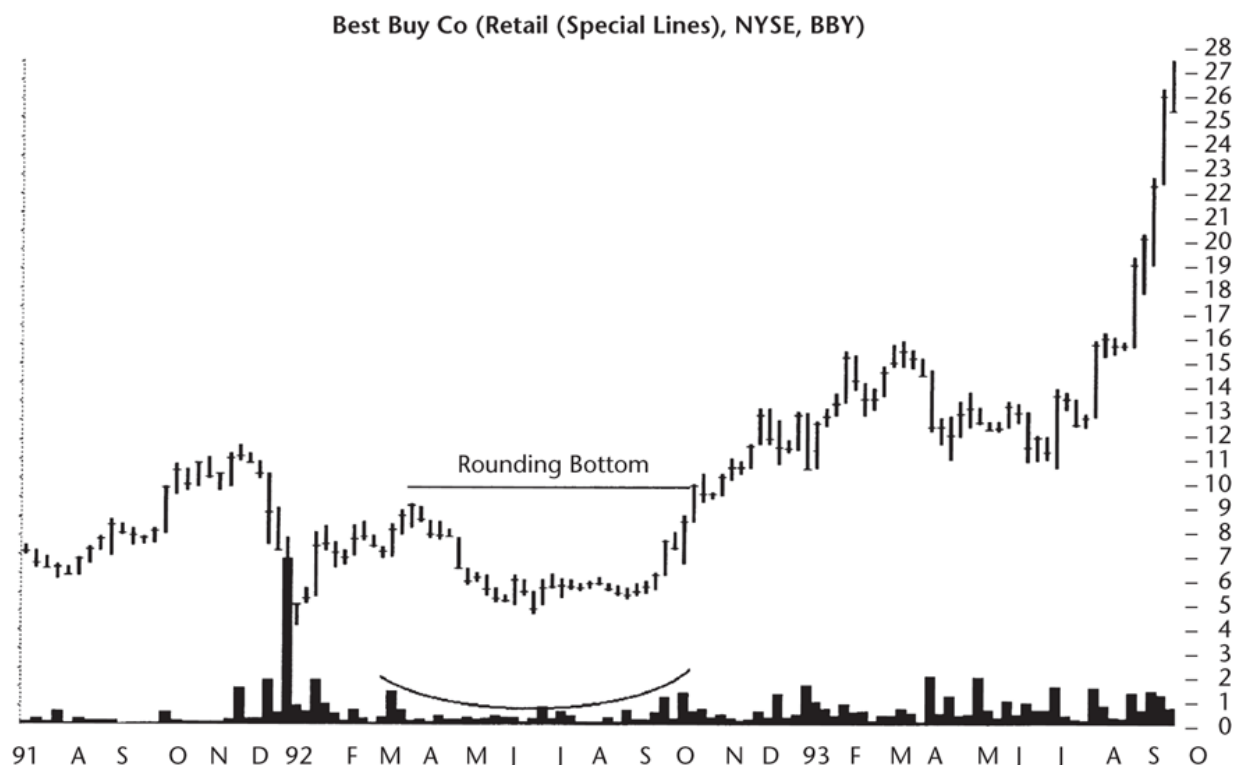


Figure 55.2 This chart is a good example of a rounding bottom on the weekly scale.

Consider [Figure 55.2](#), shown on the weekly scale. The most recent up leg of the climb to the chart pattern began in late December 1991 on very high volume. Price climbed 235% in about 3 months, and then the stock eased over. The decline was not a quick straight-down affair. Rather, the stock moved lower on its way to 4.25 by curving around and flattening out.

Once price reached the low in the rounding bottom, it moved horizontally for several weeks before beginning an accelerated climb. On the right side of the pattern, price reached the level of the left saucer rim but did not pause. It kept climbing until reaching 13 and then 16 before backing down to 11 (August 1993). I consider the end of the pattern to be when the stock reaches the price level of the left side (the left lip).

A rounding bottom does not require a handle, which is a price consolidation area that commonly forms immediately after the right saucer rim, but most times you will see one. A pause in the upward move is typical behavior when price reaches an old high (the site of the left lip). The rise falters as tepid demand or excessive selling pushes price lower; then, the two highs act as a resistance zone. Sometimes, price makes several attempts before